

German ifo business climate (Aug)

More good news

Economics

Germany

- ◆ August ifo business climate surged to 12-month high with both expectations and current conditions gaining strongly
- ◆ The improvement was broad-based, with companies across all sectors becoming more positive on their business outlook
- ◆ Together with the rock-solid flash PMI for August, this could be a sign that the economy is proving resilient to geopolitical and weather-related headwinds

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Facts

In August, ifo business climate surged from an upwardly revised 86.7pts to 88.8 points, exceeding consensus expectations (Bloomberg 87.2pts). Business expectations improved from 86.8pts (revised from 86.7pts) to 89.1pts (Bloomberg consensus: 87.5pts), while current conditions gained 2pts to 88.5pts (Bloomberg consensus: 87.0pts).

The improvement was broad-based: Services, manufacturing, trade (retail and wholesale) and construction expectations all gained, with the strongest gains seen in construction, followed by services and manufacturing. The current manufacturing assessment jumped higher by 9.1pts to the best level since July 2023.

Implications

German business morale has brightened considerably in August with ifo posting the third consecutive rise to the best level since August 2025 despite low levels on key shipping routes threatening supply chains. The broad-based improvement sector-wise gives reason to hope that the stronger-than-expected performance of the German economy in H1 could indeed have legs ([Net trade and government the main drivers in H1](#), 25 Aug). Still, the overall level of the ifo index both in terms of the current assessment and business expectations remains still low by historical standards and relative to the HCOB S&P Global PMI data. The latter held up well in August, with the flash Composite PMI at 51pts. A better outcome was prevented by services, which dropped to 48.5pts, but it is important to keep in mind that the subcomponents were much better than the headline rate suggested.

Expectation-wise all sectors are still in the red, but in some cases are improving quickly. Interestingly, manufacturing sentiment bounced markedly in August (chiming with the flash HCOB S&P Global manufacturing PMI, which surged from 52.2pts to 54.1pts in August, the best since May 2022), giving reason for optimism that exports, which were a key driver of the positive German economic performance in H1 2026, will remain resilient. While the ifo subcomponent export expectations will only be published with a lag, we think they likely will have improved as well. At some point, once capacity utilisation rises, business fixed investment, which fell sharply over the past two quarters, might begin to recover.

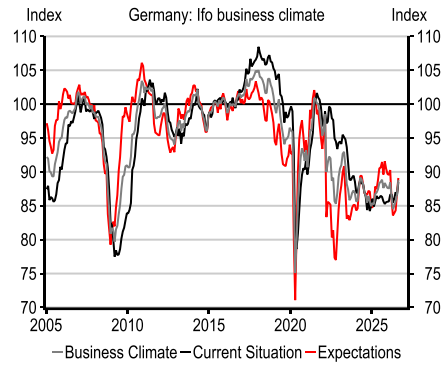
While there still are risks related to geopolitics and trade, companies are moving past their long-held pessimism. This is good news for the economy going forward and adds to the upward risks to our German GDP forecast for 2026 (0.2%).

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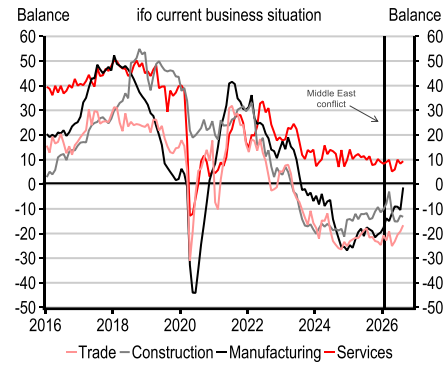
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1: The ifo business climate surged in August



Source: Macrobond, HSBC

2: Much better conditions in manufacturing



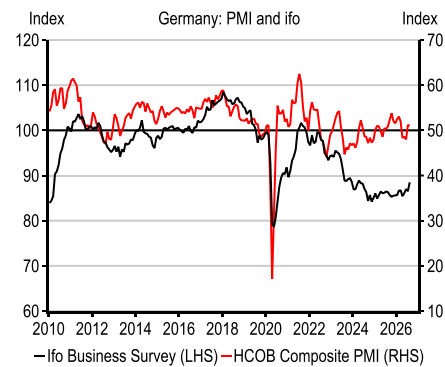
Source: Macrobond, HSBC

3: Expectations rose across the board



Source: Macrobond, HSBC

4: The gap to the Composite PMI is still quite large



Source: Macrobond, HSBC

Disclosure appendix

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